CHAPTER 6

U.S. Equity Investments

KEY CONCEPTS

- U.S. stocks have produced about 6 percent in real compounded returns.
- The U.S. stock market can be subdivided into many different categories.
- Diversifying among these categories can aid a portfolio over time.
- Mixing a broad index fund with small-cap value has produced the best results.

U.S. equities are a core position in almost every growth investor’s portfolio. Approximately 150 million Americans own U.S. equities directly or indirectly through stock purchase, mutual funds, ETFs, variable annuities, employer retirement accounts, and other avenues.

This chapter focuses on the broad U.S. equity market and sub-sectors of the market. The index providers typically start with a large universe of U.S. equities as the base for their index products, and then they divide the universe into different categories based on company size (large, midcap, and small cap), valuation (growth or value), and industry groupings.

Interestingly, not all subsets of U.S. equities are highly correlated with one another. It is common for some categories of the U.S. market to be performing well, while others are performing poorly. Thus, at times it is possible to gain a diversification advantage by overweighting a few of these categories. This chapter considers a few of those sectors.

A HISTORY OF U.S. EQUITY RETURNS

U.S. equities have delivered exceptionally good returns over the long term, and particularly over the last 60 years. As America prospered, established companies grew, and new companies and industries were established. U.S. corporations have enjoyed fairly steady earnings growth over the past century despite wars, recessions, and many bank failures. The earnings